MBA TECH DS – SEM 3

An Accounting Study of The Corporation of Merchants & Seafarers Ltd.



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Contents

Introduction to the Corporation 3

Normal-Case Cost Sheet 4

Commentary on the Normal-Case Cost Sheet 5

Normal-case Flexible Budget 6

Commentary on the normal-case flexible budget 6

"Doomsday" Scenario 7

Worst-Case Cost Sheet 8

Commentary on the worst-case cost sheet 9

Comparison: Normal Case *v/s* Worst Case 10

Commentary on Comparison *&* Conclusion 12

AI Check 13

Introduction to the Corporation

The Corporation of Merchants & Seafarers (CM&S) Ltd. was established in 1960 under the Maritime Trade (MT) Act – an act passed in the Indian parliament mandating the corporation to conduct merchant navy operations for the Union of India. The primary operations of CM&S (as mentioned in the 'Sanctioned Directives' part of the MT Act (1960)) include (a) Handling of Docks (b) Handling of Cargo (c) Operation of Ships (d) Crew Welfare. Along with the Port Authority of India (which has the mandate to service ports, established under the MT act), CM&S handles roughly 95% of India's shipping traffic today. The Corporation is listed on the main boards of both the National Stock Exchange (NSE) and the Bombay Stock Exchange (BSE), under the symbol "CMSL". The ships operating under the banner of CM&S have routes all over the world; from Trans-Pacific shipping ways to Asia-Europe routes (refer Figure 1), serving India with broad connectivity and access, playing a pivotal role in the republic's globalisation. The CM&S is an asset heavy business, operating (as reported in their annual report for the year 2025-2026) 450 ships (225 container ships, 150 bulk carriers, and 75 tankers). The Corporation employees roughly 50,000 people (ranging from shipping crew, to dock workers).

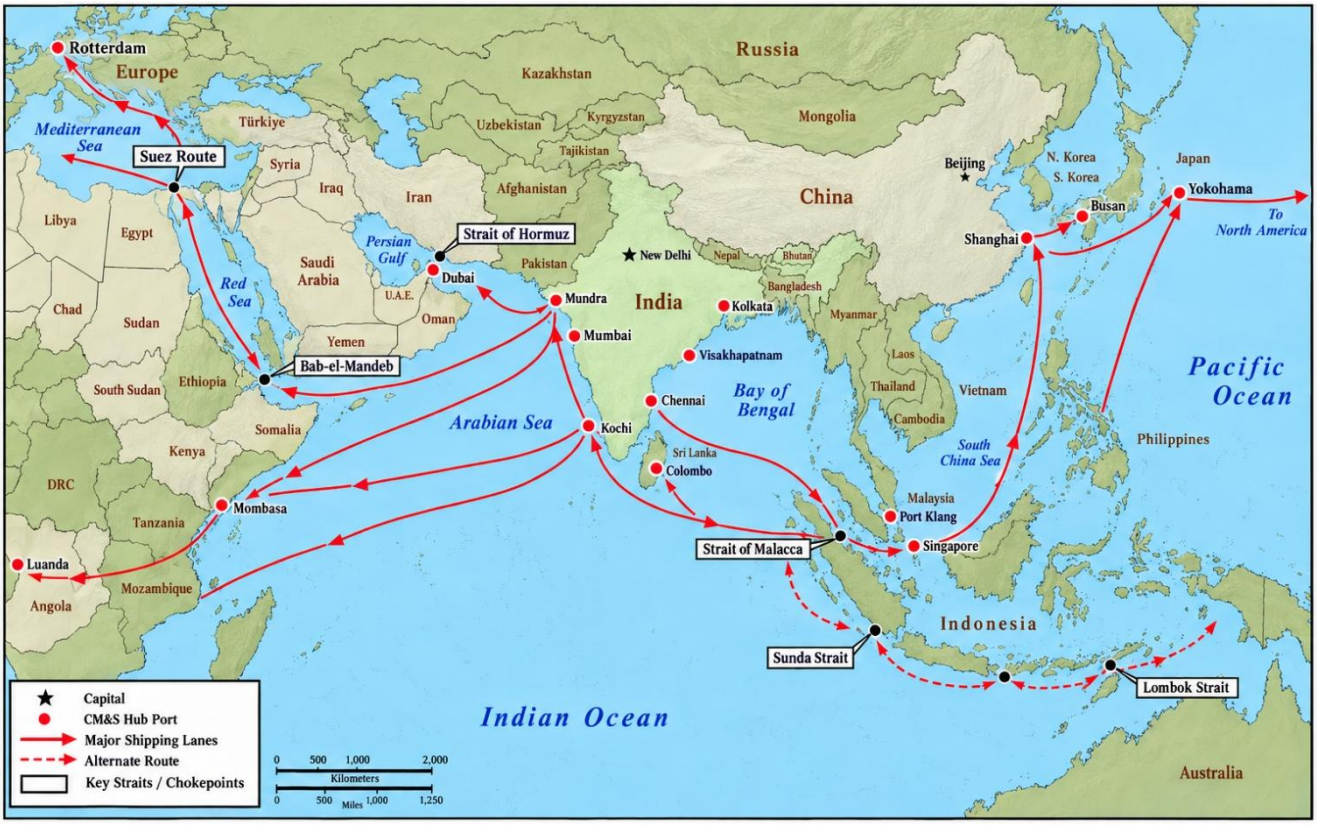
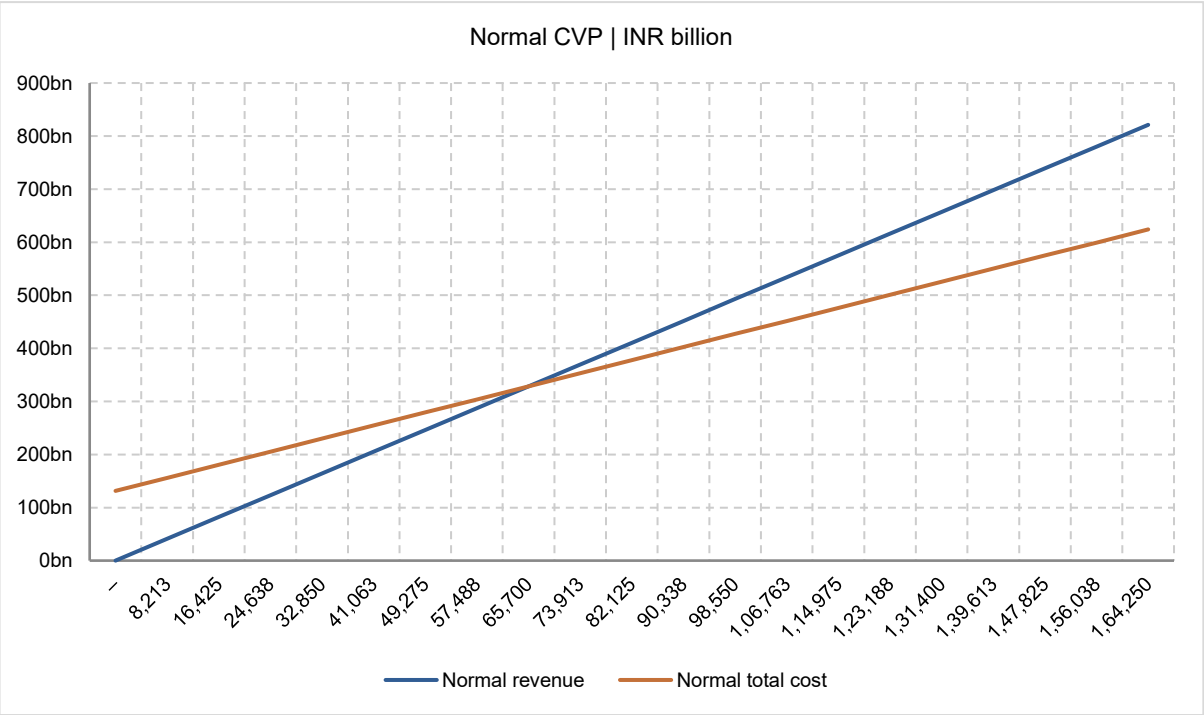


Figure 1. CM&S Major Sea Routes. *The fictional Corporation of Merchants & Seafarers (CM&S) operates shipping corridors connecting India with the Gulf, Europe, Africa, Southeast Asia, East Asia, and the Pacific.*

Normal-Case Cost Sheet

Items	Variable INR	Fixed INR	Total INR
Completed service volume (vessel-day)			1,31,400.0
Revenue per vessel-day (INR)			₹ 50,00,000
Revenue			**₹ 6,57,00,00,00,000**
DIRECT SERVICE COSTS			
Fuel and voyage consumables	₹ 1,57,68,00,00,000	–	₹ 1,57,68,00,00,000
Variable handling labour	₹ 32,85,00,00,000	–	₹ 32,85,00,00,000
Port and terminal charges	₹ 78,84,00,00,000	–	₹ 78,84,00,00,000
Purchased freight / voyage services	₹ 65,70,00,00,000	–	₹ 65,70,00,00,000
Cargo insurance	₹ 19,71,00,00,000	–	₹ 19,71,00,00,000
Documentation and clearance	₹ 13,14,00,00,000	–	₹ 13,14,00,00,000
Prime cost	**₹ 3,67,92,00,00,000**	**–**	**₹ 3,67,92,00,00,000**
OPERATING OVERHEADS			
Crew and operations salaries	–	₹ 49,27,50,00,000	₹ 49,27,50,00,000
Depreciation	–	₹ 21,90,00,00,000	₹ 21,90,00,00,000
Annual vessel insurance	–	₹ 16,42,50,00,000	₹ 16,42,50,00,000
Maintenance contracts	–	₹ 10,95,00,00,000	₹ 10,95,00,00,000
Operations overhead incurred	**–**	**₹ 98,55,00,00,000**	**₹ 98,55,00,00,000**
Normal-capacity absorption factor			*100.0%*
Operations overhead absorbed			₹ 98,55,00,00,000
Unabsorbed operations overhead			–
Cost of services delivered			**₹ 4,66,47,00,00,000**
ADMINISTRATION AND SELLING			
Office rent and administration	–	₹ 16,42,50,00,000	₹ 16,42,50,00,000
Utilities (fixed + variable)	₹ 13,14,00,00,000	₹ 2,73,75,00,000	₹ 15,87,75,00,000
Sales salaries and retainers	–	₹ 13,68,75,00,000	₹ 13,68,75,00,000
Sales commission	₹ 13,14,00,00,000	–	₹ 13,14,00,00,000
Administration and selling total	**₹ 26,28,00,00,000**	**₹ 32,85,00,00,000**	**₹ 59,13,00,00,000**
Normal cost of sales			**₹ 5,25,60,00,00,000**
Operating profit before abnormal costs			**₹ 1,31,40,00,00,000**
PERIOD EXPENSES AND RECONCILIATION			
Abnormal detention / disruption expense			–
Non-recurring legal response expense			–
Recognised fine / settlement expense			–
Total abnormal / non-recurring expense			**–**
Operating profit after abnormal costs			**₹ 1,31,40,00,00,000**
Interest and finance expense			₹ 9,85,50,00,000
Profit / (loss) before tax			**₹ 1,21,54,50,00,000**
MARGINAL COSTING AND RATIOS			
Variable cost per vessel-day			₹ 30,00,000
Variable cost			₹ 3,94,20,00,00,000
Contribution per vessel-day			₹ 20,00,000
Total contribution			**₹ 2,62,80,00,00,000**
Fixed operating cost (full incurred)			**₹ 1,31,40,00,00,000**
Recurring operating profit			**₹ 1,31,40,00,00,000**
P/V ratio (contribution / revenue)			*40.0%*
Variable cost / revenue			*60.0%*
Recurring operating profit margin			*20.0%*
Break-even volume (vessel-day; recurring)			65,700.0
Break-even revenue (INR; recurring)			₹ 3,28,50,00,00,000
Margin of safety (vessel-day; signed)			65,700.0
Margin of safety ratio (signed)			*50.0%*
Capacity utilisation			*80.0%*
Fixed operating cost per actual vessel-day			₹ 10,00,000
Normal cost of sales per actual vessel-day			₹ 40,00,000
Degree of operating leverage			*2.00x*
Interest coverage after abnormal costs			*13.33x*
Break-even vessel-day including abnormal costs			65,700.0
Break-even feasibility at available capacity			Within available capacity



Commentary on the Normal-Case Cost Sheet

At 80% fleet utilisation, CM&S is expected to generate ₹65,700 crore in annual revenue. Recurring operating expenditure is estimated at ₹52,560 crore, leaving ₹13,140 crore as operating profit. The operating profit margin works out to 20% at this level of activity. Of the total expenditure, ₹39,420 crore is classified as variable costs, accounting for 60% of annual revenue. Fuel and voyage consumables take up the largest share, followed by port and terminal charges and purchased freight services. An operating vessel-day brings in an average of ₹50 lakh in revenue, while the variable expense incurred is approximately ₹30 lakh. The difference of ₹20 lakh is the contribution earned per vessel-day. Annual contribution comes to ₹26,280 crore, with a P/V ratio of 40%. For every ₹100 earned, the company has ₹40 available to pay its fixed costs, with the balance forming operating profit. CM&S spends an estimated ₹13,140 crore annually on fixed operating expenses. This includes payments to crew members, depreciation of ships, insurance and maintenance, as well as the costs of administration and sales operations. With the fleet operating at 80% capacity, all operating overheads are accounted for, and there is no unabsorbed overhead expense. The break-even point is reached at 65,700 vessel-days, corresponding to revenue of ₹32,850 crore. Normal operations are estimated at 131,400 vessel-days, which is twice the break-even requirement. The margin of safety is therefore 50%. Based on these estimates, CM&S could experience a reduction of up to half its normal shipping activity before recurring operating profit falls to zero. This would be possible only if freight rates, variable costs per vessel-day, fixed expenses and the fleet mix remain unchanged. Finance expenses for the year are estimated at ₹985.50 crore. Deducting this amount

from the operating profit of ₹13,140 crore gives CM&S a profit before tax of ₹12,154.50 crore. At the assumed operating capacity, the company earns enough to meet its regular expenditure and financing costs. However, the relatively large fixed-cost component means that any sustained reduction in vessel utilisation would have a direct effect on its earnings.

The figures used in this cost sheet are illustrative annual estimates for the fictional company CM&S.

Normal-case Flexible Budget

Item				
Capacity utilisation	40.0%	60.0%	80.0%	100.0%
Volume (vessel-day)	65,700	98,550	1,31,400	1,64,250
Revenue	**₹ 3,28,50,00,00,000**	**₹ 4,92,75,00,00,000**	**₹ 6,57,00,00,00,000**	**₹ 8,21,25,00,00,000**
Direct variable service costs	₹ 1,83,96,00,00,000	₹ 2,75,94,00,00,000	₹ 3,67,92,00,00,000	₹ 4,59,90,00,00,000
Variable administration	₹ 6,57,00,00,000	₹ 9,85,50,00,000	₹ 13,14,00,00,000	₹ 16,42,50,00,000
Variable selling	₹ 6,57,00,00,000	₹ 9,85,50,00,000	₹ 13,14,00,00,000	₹ 16,42,50,00,000
Total variable cost	**₹ 1,97,10,00,00,000**	**₹ 2,95,65,00,00,000**	**₹ 3,94,20,00,00,000**	**₹ 4,92,75,00,00,000**
Contribution	**₹ 1,31,40,00,00,000**	**₹ 1,97,10,00,00,000**	**₹ 2,62,80,00,00,000**	**₹ 3,28,50,00,00,000**
Fixed operations overhead incurred	₹ 98,55,00,00,000	₹ 98,55,00,00,000	₹ 98,55,00,00,000	₹ 98,55,00,00,000
Fixed administration	₹ 19,16,25,00,000	₹ 19,16,25,00,000	₹ 19,16,25,00,000	₹ 19,16,25,00,000
Fixed selling	₹ 13,68,75,00,000	₹ 13,68,75,00,000	₹ 13,68,75,00,000	₹ 13,68,75,00,000
Total fixed operating cost	**₹ 1,31,40,00,00,000**	**₹ 1,31,40,00,00,000**	**₹ 1,31,40,00,00,000**	**₹ 1,31,40,00,00,000**
Recurring operating profit	**–**	**₹ 65,70,00,00,000**	**₹ 1,31,40,00,00,000**	**₹ 1,97,10,00,00,000**
Abnormal / non-recurring expense	–	–	–	–
Operating profit after abnormal costs	**–**	**₹ 65,70,00,00,000**	**₹ 1,31,40,00,00,000**	**₹ 1,97,10,00,00,000**
Finance expense	₹ 9,85,50,00,000	₹ 9,85,50,00,000	₹ 9,85,50,00,000	₹ 9,85,50,00,000
Profit / (loss) before tax	**(₹ 9,85,50,00,000)**	**₹ 55,84,50,00,000**	**₹ 1,21,54,50,00,000**	**₹ 1,87,24,50,00,000**
P/V ratio	40.0%	40.0%	40.0%	40.0%
Recurring operating profit margin	0.0%	13.3%	20.0%	24.0%

Commentary on the normal-case flexible budget

The flexible budget examines CM&S's financial performance at four levels of fleet utilisation: 40%, 60%, 80% and 100%. Annual revenue is calculated according to the number of operating vessel-days, starting at ₹32,850 crore at 40% utilisation and reaching ₹82,125 crore when the fleet is operating at full capacity. Variable expenses account for 60% of revenue at each level of activity. As more vessels are put into operation, these expenses increase along with the revenue earned. The P/V ratio remains at 40% throughout, leaving ₹40 from every ₹100 of revenue to meet fixed operating expenses and contribute towards profit. CM&S has fixed operating costs of ₹13,140 crore, which remain the same across all four utilisation levels. As fleet activity increases, the fixed expense allocated to each operating vessel-day becomes smaller. At 40% utilisation, the company makes no recurring operating profit, while at 60% the

operating profit margin reaches 13.3%. The margin increases to 20% at the normal operating level of 80% and reaches 24% when the entire fleet is in use. At 40% utilisation, CM&S earns just enough contribution to meet its fixed operating expenditure. The company still incurs finance expenses of ₹985.50 crore, resulting in a loss before tax of ₹985.50 crore. To cover these expenses as well, fleet utilisation would need to reach approximately 43%, provided the existing freight rates and cost estimates remain unchanged. At the normal operating level of 80%, the company earns ₹13,140 crore in operating profit and ₹12,154.50 crore in profit before tax. If utilisation increases to 100%, profit before tax rises to ₹18,724.50 crore. This is an increase of ₹6,570 crore. A similar increase in operating profit occurs with every additional 20 percentage points of fleet utilisation, since fixed expenses are assumed to remain unchanged. The figures show how strongly CM&S's earnings depend on the number of vessels in operation. The company must bear its fixed expenses even during periods of reduced shipping activity, while higher utilisation allows it to earn more revenue without a corresponding increase in those expenses. These estimates assume that revenue and variable costs per vessel-day remain constant, the fleet composition does not change, and no additional fixed or abnormal expenditure arises within the capacity range considered.

"Doomsday" Scenario

Cocaine was found on one of the ships. Customs officials noticed discrepancies in earlier shipping records, particularly those involving freight agents who handled cargo transfers at intermediate ports. Investigators suspected that the trafficking operation had continued for some time and began examining the possible involvement of CM&S personnel. European and American authorities subsequently placed restrictions on the corporation's Atlantic services. Several ports refused entry to CM&S vessels, and ships awaiting customs clearance were kept from unloading. With regular sailings interrupted, exporters began cancelling bookings and arranging transportation through other carriers. CM&S rejected allegations of involvement in the drug trade. Management maintained that the illegal cargo had been booked by outside freight agents using false declarations. The corporation opened an internal inquiry and submitted the requested shipping documents to investigators. The restrictions left CM&S with fewer cargo bookings and several vessels unable to operate normally. The corporation sought the removal of the port restrictions, although its Atlantic operations remained affected while the investigation was underway.

Worst-Case Cost Sheet

	Variable INR	Fixed INR	Total INR
Completed service volume (vessel-day)			65,700.0
Revenue per vessel-day (INR)			₹ 47,50,000
Revenue			**₹ 3,12,07,50,00,000**
DIRECT SERVICE COSTS			
Fuel and voyage consumables	₹ 1,08,40,50,00,000	–	₹ 1,08,40,50,00,000
Variable handling labour	₹ 19,71,00,00,000	–	₹ 19,71,00,00,000
Port and terminal charges	₹ 49,27,50,00,000	–	₹ 49,27,50,00,000
Purchased freight / voyage services	₹ 36,13,50,00,000	–	₹ 36,13,50,00,000
Cargo insurance	₹ 16,42,50,00,000	–	₹ 16,42,50,00,000
Documentation and clearance	₹ 9,85,50,00,000	–	₹ 9,85,50,00,000
Prime cost	**₹ 2,39,80,50,00,000**	**–**	**₹ 2,39,80,50,00,000**
OPERATING OVERHEADS			
Crew and operations salaries	–	₹ 52,56,00,00,000	₹ 52,56,00,00,000
Depreciation	–	₹ 21,90,00,00,000	₹ 21,90,00,00,000
Annual vessel insurance	–	₹ 24,63,75,00,000	₹ 24,63,75,00,000
Maintenance contracts	–	₹ 13,68,75,00,000	₹ 13,68,75,00,000
Operations overhead incurred	**–**	**₹ 1,12,78,50,00,000**	**₹ 1,12,78,50,00,000**
Normal-capacity absorption factor			*50.0%*
Operations overhead absorbed			₹ 56,39,25,00,000
Unabsorbed operations overhead			₹ 56,39,25,00,000
Cost of services delivered			**₹ 2,96,19,75,00,000**
ADMINISTRATION AND SELLING			
Office rent and administration	–	₹ 19,71,00,00,000	₹ 19,71,00,00,000
Utilities (fixed + variable)	₹ 9,85,50,00,000	₹ 3,28,50,00,000	₹ 13,14,00,00,000
Sales salaries and retainers	–	₹ 15,33,00,00,000	₹ 15,33,00,00,000
Sales commission	₹ 6,57,00,00,000	–	₹ 6,57,00,00,000
Administration and selling total	**₹ 16,42,50,00,000**	**₹ 38,32,50,00,000**	**₹ 54,75,00,00,000**
Normal cost of sales			**₹ 3,50,94,75,00,000**
Operating profit before abnormal costs			**(₹ 95,26,50,00,000)**
PERIOD EXPENSES AND RECONCILIATION			
Abnormal detention / disruption expense			₹ 24,63,75,00,000
Non-recurring legal response expense			₹ 10,95,00,00,000
Recognised fine / settlement expense			₹ 19,16,25,00,000
Total abnormal / non-recurring expense			**₹ 54,75,00,00,000**
Operating profit after abnormal costs			**(₹ 1,50,01,50,00,000)**
Interest and finance expense			₹ 15,33,00,00,000
Profit / (loss) before tax			**(₹ 1,65,34,50,00,000)**
MARGINAL COSTING AND RATIOS			
Variable cost per vessel-day			₹ 39,00,000
Variable cost			₹ 2,56,23,00,00,000
Contribution per vessel-day			₹ 8,50,000
Total contribution			**₹ 55,84,50,00,000**
Fixed operating cost (full incurred)			**₹ 1,51,11,00,00,000**
Recurring operating profit			**(₹ 95,26,50,00,000)**
P/V ratio (contribution / revenue)			*17.9%*
Variable cost / revenue			*82.1%*
Recurring operating profit margin			*(30.5%)*
Break-even volume (vessel-day; recurring)			1,77,776.5
Break-even revenue (INR; recurring)			₹ 8,44,43,82,35,294
Margin of safety (vessel-day; signed)			(1,12,076.5)
Margin of safety ratio (signed)			*(170.6%)*
Capacity utilisation			*40.0%*
Fixed operating cost per actual vessel-day			₹ 23,00,000
Normal cost of sales per actual vessel-day			₹ 53,41,667
Degree of operating leverage			*n.a.*
Interest coverage after abnormal costs			*(9.79x)*
Break-even vessel-day including abnormal costs			2,42,188.2
Break-even feasibility at available capacity			Above available capacity

Commentary on the worst-case cost sheet

Under the worst-case scenario, CM&S operates at just 40% of its available fleet capacity, accounting for 65,700 operating vessel-days during the year. Annual revenue stands at ₹31,207.50 crore, with each operating vessel-day earning an average of ₹47.50 lakh, against ₹50 lakh under normal conditions. The decline in revenue is accompanied by an increase in the cost of operating the fleet. Variable expenditure amounts to ₹25,623 crore, equivalent to 82.1% of total revenue. Of this, fuel and voyage consumables account for ₹10,840.50 crore, making them the largest individual expense. The variable cost of operating a vessel for one day rises to ₹39 lakh, leaving ₹8.50 lakh as contribution. For the year, this gives a total contribution of ₹5,584.50 crore and a P/V ratio of 17.9%. In other words, CM&S retains ₹17.90 from every ₹100 earned to meet its fixed expenses. Annual fixed operating costs remain at ₹15,111 crore, considerably more than the contribution available to cover them. The resulting shortfall is ₹9,526.50 crore, even before accounting for exceptional expenses or interest payments. Spread across the reduced number of operating days, fixed costs work out to ₹23 lakh per vessel-day. Much of this expenditure continues irrespective of how frequently the vessels are employed. The treatment of operations overhead also affects the cost sheet. Since actual activity is only half the normal allocation level, just 50% of the overhead incurred is absorbed into the cost of sales. The balance of ₹5,639.25 crore is recorded as unabsorbed overhead and charged against the year's earnings. The normal cost of sales of ₹35,094.75 crore excludes this balance, which must be accounted for separately when calculating the operating result. Finance expenses of ₹1,533 crore bring the loss before tax to ₹16,534.50 crore. The break-even calculations place the extent of the shortfall into perspective. CM&S would need approximately 177,777 operating vessel-days to recover its recurring operating costs, although its fleet can provide no more than 164,250 vessel-days in a year. When abnormal expenses are included, the required activity rises to approximately 242,188 vessel-days, excluding finance costs. The margin of safety is consequently negative at 170.6%, calculated against actual activity. This percentage measures the distance from break-even and should not be interpreted as a measure of physical fleet capacity. Each additional operating vessel-day continues to produce a positive contribution of ₹8.50 lakh. Nevertheless, the existing fleet cannot generate enough operating days to cover the expenses assumed in this scenario.

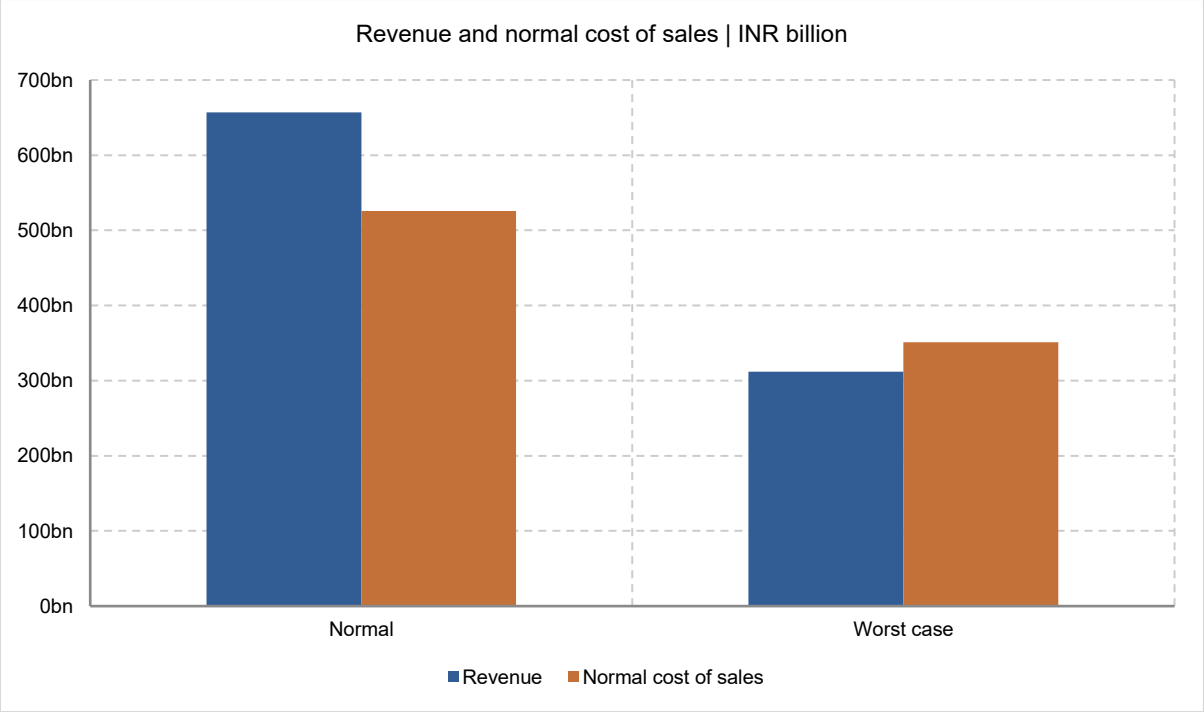
Comparison: Normal Case *v/s* Worst Case

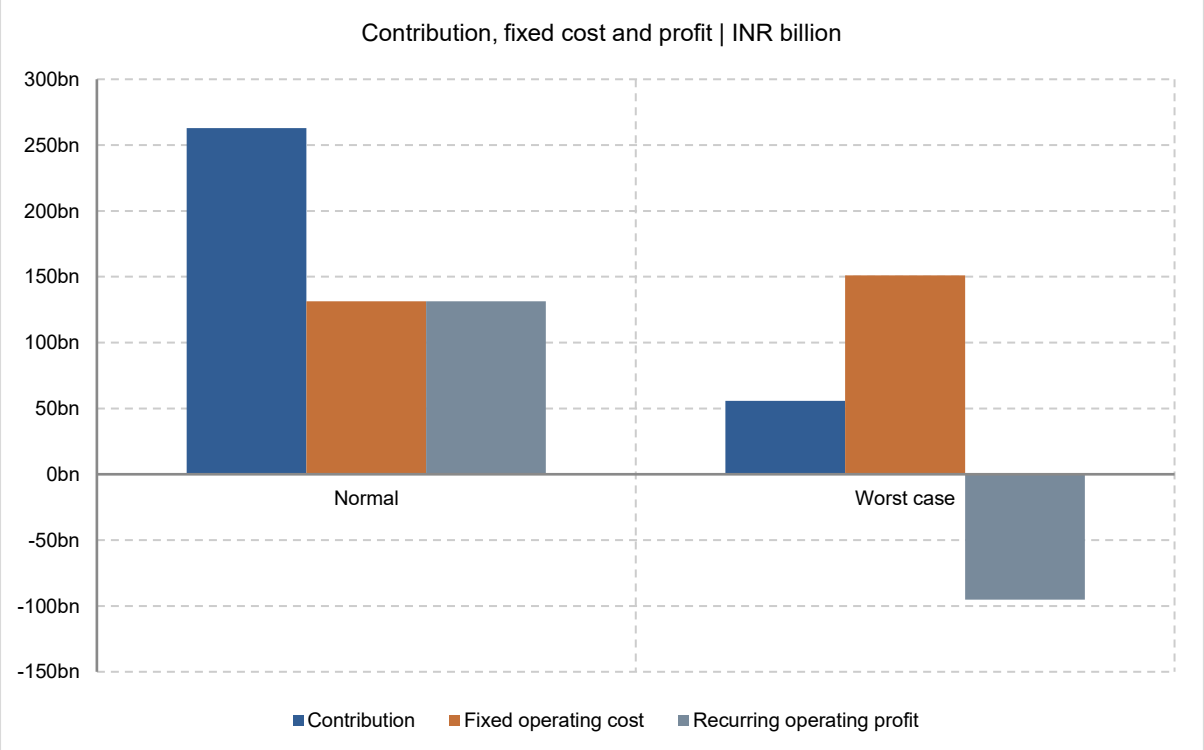
Metric	Normal	Worst case	Change	Change %
Volume (vessel-day)	1,31,400.0	65,700.0	(65,700.0)	(50.0%)
Revenue per vessel-day	₹ 50,00,000	₹ 47,50,000	(₹ 2,50,000)	(5.0%)
Revenue	**₹ 6,57,00,00,00,000**	**₹ 3,12,07,50,00,000**	**(₹ 3,44,92,50,00,000)**	**(52.5%)**
Variable cost per vessel-day	₹ 30,00,000	₹ 39,00,000	₹ 9,00,000	30.0%
Variable cost	₹ 3,94,20,00,00,000	₹ 2,56,23,00,00,000	(₹ 1,37,97,00,00,000)	(35.0%)
Contribution	**₹ 2,62,80,00,00,000**	**₹ 55,84,50,00,000**	**(₹ 2,06,95,50,00,000)**	**(78.8%)**
Fixed operating cost incurred	₹ 1,31,40,00,00,000	₹ 1,51,11,00,00,000	₹ 19,71,00,00,000	15.0%
Normal cost of sales	₹ 5,25,60,00,00,000	₹ 3,50,94,75,00,000	(₹ 1,74,65,25,00,000)	(33.2%)
Unabsorbed operations overhead	–	₹ 56,39,25,00,000	₹ 56,39,25,00,000	n.a.
Recurring operating profit	**₹ 1,31,40,00,00,000**	**(₹ 95,26,50,00,000)**	**(₹ 2,26,66,50,00,000)**	**(172.5%)**
Abnormal / non-recurring expense	–	₹ 54,75,00,00,000	₹ 54,75,00,00,000	n.a.
Operating profit after abnormal costs	**₹ 1,31,40,00,00,000**	**(₹ 1,50,01,50,00,000)**	**(₹ 2,81,41,50,00,000)**	**(214.2%)**
Interest and finance expense	₹ 9,85,50,00,000	₹ 15,33,00,00,000	₹ 5,47,50,00,000	55.6%
Profit / (loss) before tax	**₹ 1,21,54,50,00,000**	**(₹ 1,65,34,50,00,000)**	**(₹ 2,86,89,00,00,000)**	**(236.0%)**

P/V ratio	40.0%	17.9%	(22.1 pp)	
Recurring operating profit margin	20.0%	(30.5%)	(50.5 pp)	
Recurring break-even volume (vessel-day)	65,700.0	1,77,776.5	1,12,076.5	170.6%
Recurring break-even revenue	₹ 3,28,50,00,00,000	₹ 8,44,43,82,35,294	₹ 5,15,93,82,35,294	157.1%
Margin of safety ratio (signed)	50.0%	(170.6%)	(220.6 pp)	
Capacity utilisation	80.0%	40.0%	(40.0 pp)	
Degree of operating leverage	2.00x	n.a.	n.a.	n.a.
Interest coverage after abnormal costs	13.33x	(9.79x)	(23.12x)	(173.4%)
Break-even vessel-day including abnormal costs	65,700.0	2,42,188.2	1,76,488.2	268.6%

Recurring operating profit bridge	
Normal recurring operating profit	₹ 1,31,40,00,00,000
Volume effect at normal contribution	(₹ 1,31,40,00,00,000)
Selling price effect at worst-case volume	(₹ 16,42,50,00,000)
Variable rate effect at worst-case volume	(₹ 59,13,00,00,000)
Fixed cost effect	(₹ 19,71,00,00,000)
Worst-case recurring operating profit	**(₹ 95,26,50,00,000)**

Annual financials | INR crore	**Normal**	**Worst case**
Revenue	65,700.00	31,207.50
Variable operating costs	39,420.00	25,623.00
Fixed operating costs	13,140.00	15,111.00
Contribution	26,280.00	5,584.50
Recurring operating profit / (loss)	13,140.00	(9,526.50)
Abnormal / non-recurring expense	–	5,475.00
Finance expense	985.50	1,533.00
Profit / (loss) before tax	**12,154.50**	**(16,534.50)**


Revenue and normal cost of sales | INR billion
700bn
600bn
500bn
400bn
300bn
200bn
100bn
0bn
Normal
Worst case
Revenue
Normal cost of sales


Contribution, fixed cost and profit | INR billion
300bn
250bn
200bn
150bn
100bn
50bn
0bn
-50bn
-100bn
-150bn
Normal
Worst case
Contribution
Fixed operating cost
Recurring operating profit

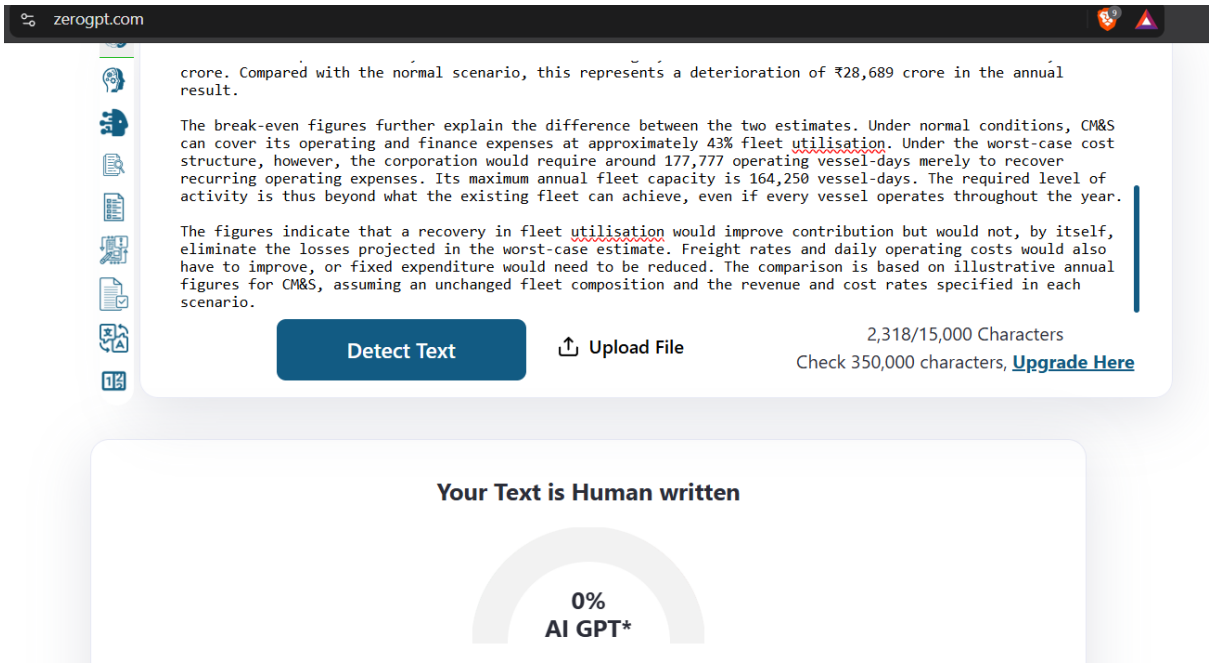
Commentary on Comparison & Conclusion

Under normal operating conditions, CM&S records annual revenue of ₹65,700 crore at 80% fleet utilisation, with a profit before tax of ₹12,154.50 crore. The worst-case estimates present a considerably different position. Fleet utilisation is reduced to 40%, while average revenue per vessel-day falls by 5%. Annual revenue consequently declines to ₹31,207.50 crore, a reduction of 52.5% from the normal estimate.

Variable expenditure falls with the number of operating days, although the cost incurred per vessel-day increases from ₹30 lakh to ₹39 lakh. Total contribution drops from ₹26,280 crore to ₹5,584.50 crore, and the P/V ratio falls from 40% to 17.9%. CM&S is therefore left with a much smaller proportion of its earnings to meet fixed operating expenses. Fixed operating costs also rise, from ₹13,140 crore in the normal case to ₹15,111 crore under the worst-case assumptions. The combined effect of lower contribution and increased fixed expenditure changes the recurring operating result from a profit of ₹13,140 crore to a loss of ₹9,526.50 crore. After accounting for ₹5,475 crore in abnormal expenses and ₹1,533 crore in finance charges, the worst-case loss before tax stands at ₹16,534.50 crore. Compared with the normal scenario, this represents a deterioration of ₹28,689 crore in the annual result.

The break-even figures further explain the difference between the two estimates. Under normal conditions, CM&S can cover its operating and finance expenses at approximately 43% fleet utilisation. Under the worst-case cost structure, however, the corporation would require around 177,777 operating vessel-days merely to recover recurring operating expenses. Its maximum annual fleet capacity is 164,250 vessel-days. The required level of activity is thus beyond what the existing fleet can achieve, even if every vessel operates throughout the year. The figures indicate that a recovery in fleet utilisation would improve contribution but would not, by itself, eliminate the losses projected in the worst-case estimate. Freight rates and daily operating costs would also have to improve, or fixed expenditure would need to be reduced. The comparison is based on illustrative annual figures for CM&S, assuming an unchanged fleet composition and the revenue and cost rates specified in each scenario.

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